

Playbook: Preparing HR's Transformation to an AI-Infused HR Operating Model

About This Playbook

Purpose:

- This playbook offers prefilled templates to guide HR's journey toward an AI-infused HR operating model
- Templates and advice are based on Gartner research and industry best practices
- Templates are illustrative and should be customized to the individual need

Audience:

- CHRO and CPO
- HR innovation command, e.g., a head of HR strategy, head of HR transformation, or an AI in HR product leader (see slide 17 for more details)
- Any role leading AI in HR transformation

| Introduction |



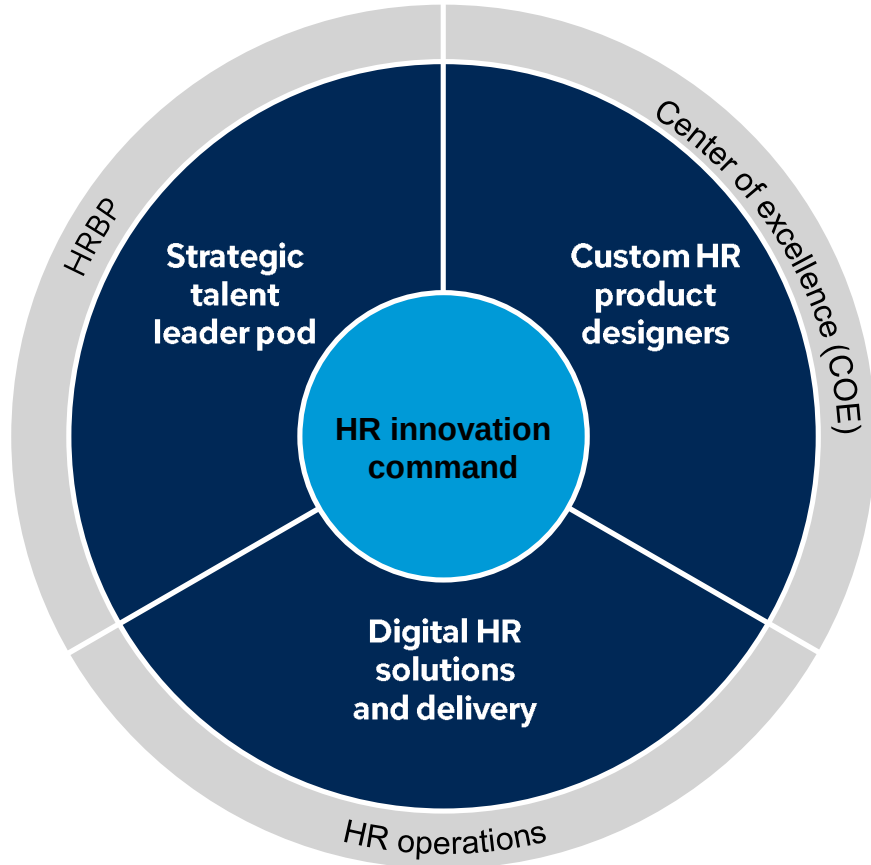
Definition:

The **AI-infused HR operating model** serves as the main **organizational principle** for enabling a human-machine partnership in HR.

AI applications are embedded across platforms and used in **every viable and desirable process** and interaction within the HR function — **fundamentally transforming HR's service delivery.**

Gartner's AI-Infused HR Operating Model Vision and Building Blocks

[Link to research](#)



Design principles: AI by default, human-first design, customer centricity, constant innovation, dynamic deployment

HR Innovation Command



Lead HR through its reinvention and drive HR's AI transformation



AI in HR product leader, head of HR strategy and head of HR transformation

Custom HR Product Designers



Develop hyperpersonalized HR products centered around the customer



HR value stream leads, product owners and product managers

Strategic Talent Leader (STL) Pod



Drive human-first AI transformation in the business and provide strategic people advice



Dynamic STL pod and executive STLs

Digital HR Solutions and Delivery



Power data and HR tech enablement and manage agile HR delivery hub



Problem solver pool, HR PMO, HR technology, human capital intelligence and people relations managers

Gartner's Position:

By 2027, HR functions that have transformed to an **AI-infused HR operating model** — as opposed to just simply implementing AI in HR — will be **two times more likely** to achieve critical business outcomes like **productivity and employee experience**.



Roadmap: Preparing HR's Transformation to an AI-Infused HR Operating Model

1. Define Your North Star

- 1.1 Define vision and goal
- 1.2 Set design principles
- 1.3 Build the case for change
- 1.4 Review keys to success

2. Lay the Groundwork

- 2.1 Install HR innovation command
- 2.2 Determine functional health
- 2.3 Define success measures

3. Run Ongoing Project Management

- 3.1 Set up project governance
- 3.2 Define project timeline
- 3.3 Build communication plan

1. Define Your North Star

1.

Define Your North Star

Recommendation:

1.1

Define Vision and Goals

Describe **what** the function wants to achieve with the transformation

1.2

Set Design Principles

Describe **how** the function will approach the transformation

1.3

Build the Case for Change

Describe **why** the function needs to transform

1.4

Review Keys to Success

Understand best practices that impact transformation success

Why It's Important:

- Provide strategic direction and long-term perspective
- Create stakeholder buy-in and HR team motivation
- Enable prioritization and resource allocation
- Establish transformation standards
- Provide clarity for and speed up decision making
- Create a philosophy for solving challenges during transformation
- Create urgency and motivate action
- Enable clear and consistent communication
- Build consensus among the team
- Apply early learnings your peers have made on the journey
- Avoid transformation pitfalls

Key Resources:

[The Impact of AI on the HR Operating Model](#)

[Harness AI's Impact on HR Processes to Accelerate HR Transformation](#)

[Tool: Guide for Building an HR Transformation Plan](#)

[Toolkit: Prepare Your HR Transformation Change Management Journey](#)

Define Transformation Vision and Goals

Create a vision statement that is clearly linked to business goals. Translate the vision into transformation initiatives and goals.

Illustrative

Vision statement

To accelerate the company's growth and digitalization, we will transform HR into an AI-powered function that delivers personalized, data-driven solutions and empowers our employees to thrive in the AI era.

Urgency drivers

- AI is rapidly automating and augmenting up to 50% of current HR activities, demanding us to rethink HR's value proposition and redesign the HR operating model.
- The CEO mandates accelerated AI adoption and digitalization.

Transformation initiatives

HR operations: Implement a tiered service delivery model with AI agents as an HR front door

HR BPs: Build dynamic pods of strategic talent leaders

COE: Implement product management practices and personalized COE offerings

Goals

- Improve ticket resolution times
- Create a consistently positive employee experience

- Maximize HR's strategic impact
- Provide more timely business support

- Increase the business value of HR offerings
- Improve the employee experience through targeted services

Set Transformation Design Principles

Use design principles as the goalposts of your transformation to plan, implement, and manage the operating model change.

AI by Default

AI and automation are the foundations of our HR operating model. We review every process and deploy AI where it drives measurable improvements.

Human-First Design

As we embrace AI, we put people at the center of every decision. Technology should amplify — not replace — human talent. We co-create new roles and upskill where needed.

Customer Centricity

We design every HR product with our employees and business leaders in mind. We deploy AI technologies to analyze and anticipate needs to create personalized HR experiences.

Constant Innovation

We foster a culture of experimentation and learning. We pilot emerging technologies, encourage creative problem solving, and quickly scale what works.

Dynamic Deployment

Where possible and beneficial, we deploy HR professionals flexibly — through agile, cross-functional pods that can be rapidly mobilized to address strategic priorities.

Describe the rationale behind the HR transformation to create C-suite buy-in and engage the HR team.

Case for Change — AI-Infused HR Operating Model

Background: How did we get here?

Our organization has experienced rapid growth, but its legacy HR model is now a bottleneck for both efficiency and employee experience.

Current state: Where are we now?

Our HR team is stretched thin by manual processes, slow response times, and limited capacity to support our evolving global business.

Risk of doing nothing: How will people and business suffer, if it continues this way?

If we don't transform, we risk losing HR talent, facing inefficiencies, and falling behind competitors that are embracing AI-driven HR.

Future state: What will it look like, if we successfully make this change?

We will operate in an AI-infused model where AI is embedded across platforms, powering most HR tasks and interactions— including autonomous AI agents performing decisions and actions across HR processes and roles.

Benefits to the business: How will the business profit from this change?

The transformation will unlock growth, improve employee engagement, and enhance decision making with real-time insights.

Success measures: One to three years from now, what will be the evidence of success?

In three years, we will have reduced HR ticket resolution time by 60%, achieved employee satisfaction scores of 85% or higher in HR services, and automated or AI-augmented at least 50% of routine HR tasks.

Obstacles and risks: What could get in our way?

Key challenges include integrating new technology, ensuring data quality, upskilling HR staff, and managing change resistance.

Urgency: Why is now the right time?

With AI adoption accelerating in our industry, immediate action is needed to help secure our organization's relevance and future growth.

Understand best practices that impact the success of your transformation to an AI-infused HR operating model.



S

Start Your Own Journey:

Don't wait for perfect best practices — lead with tailored solutions that fit your function.

U

Upend Old Ways:

Go beyond incremental change; redesign workflows and roles from scratch to maximize AI potential.

C

Capitalize on Experience:

Use proven transformation tactics such as RASCI — just update them for the AI era.

C

Claim Client Zero Status:

Transform HR to credibly guide the business through its own AI transformation.

E

Evolve With IT:

Build a strong AI-ready tech and data foundation by collaborating closely with IT.

S

Shift the Mindset:

From *people-delivered* to *tech-enabled* HR solutions.

S

Stay Adaptive:

Treat transformation as a continuous journey. Adapt roles and workflows as technology evolves.

2. Lay the Groundwork

Context

Unlike past transformations that primarily focused on work augmentation, HR's AI transformation centers on the **reengineering and invention of work** itself.

As AI technology continues to mature and evolve, this journey requires **constant innovation and ongoing adaptation** of the HR operating model.

HR workflows, roles, and service delivery must be continuously reimaged to fully harness the transformative potential of AI.

Install an **HR Innovation Command** to guide this evolution.



2.

Lay the Groundwork

Recommendation:

- 2.1 Install HR Innovation Command**
Form a team that is accountable for implementing an AI-infused HR operating model and continuous improvement
- 2.2 Determine Functional Health**
Assess performance and value of as-is HR processes, current tech stack, AI maturity, roles and skills, and service delivery
- 2.3 Define Success Measures**
Describe the aspired value provided by implementing the AI-infused HR operating model

Why It's Important:

- Provide the strategic direction for the HR transformation
- Drive continuous improvement of the HR operating model as AI technology and business needs evolve
- Understand where inefficiencies or gaps exist
- Capture baseline to include in transformation success measures
- Create basis for targeted improvements and future-state design
- Set clear expectations on transformation outcomes
- Enable ongoing progress tracking and final success evaluation

Key Resources:

[HR Budget & Efficiency Benchmark](#)

[HR Score](#)

[Toolkit: Assessments to Measure HR's Value to the Business](#)

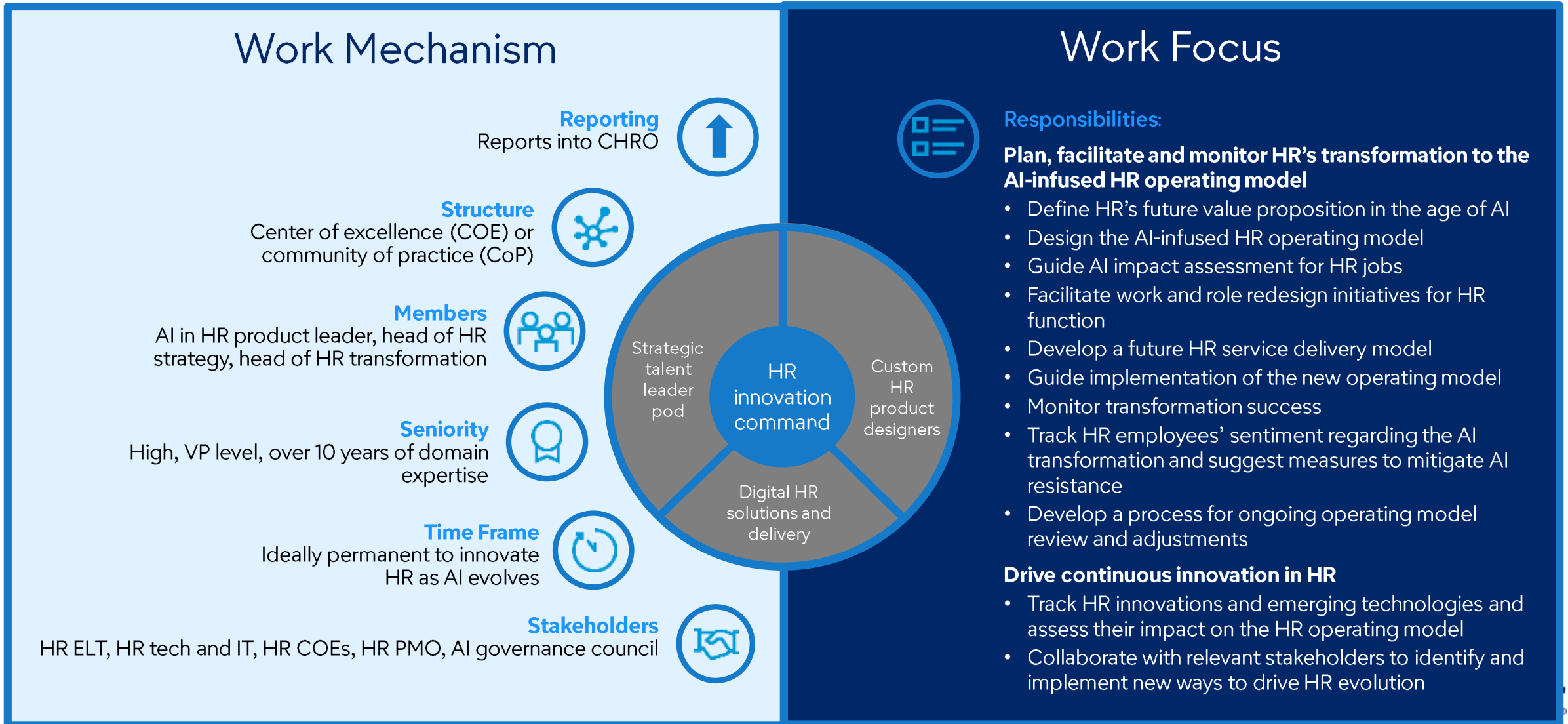
[Tool: Align HR Strategy Metrics With Business Strategy](#)

[HR Metrics Library](#)

2.1

Install HR Innovation Command – Building Block Defined

Form a central team that continuously drives HR innovation and is accountable for HR's AI transformation.



2.1

Install HR Innovation Command – Difference to Existing Teams

Highlight how the HR innovation command differentiates from existing teams to enhance role clarity.

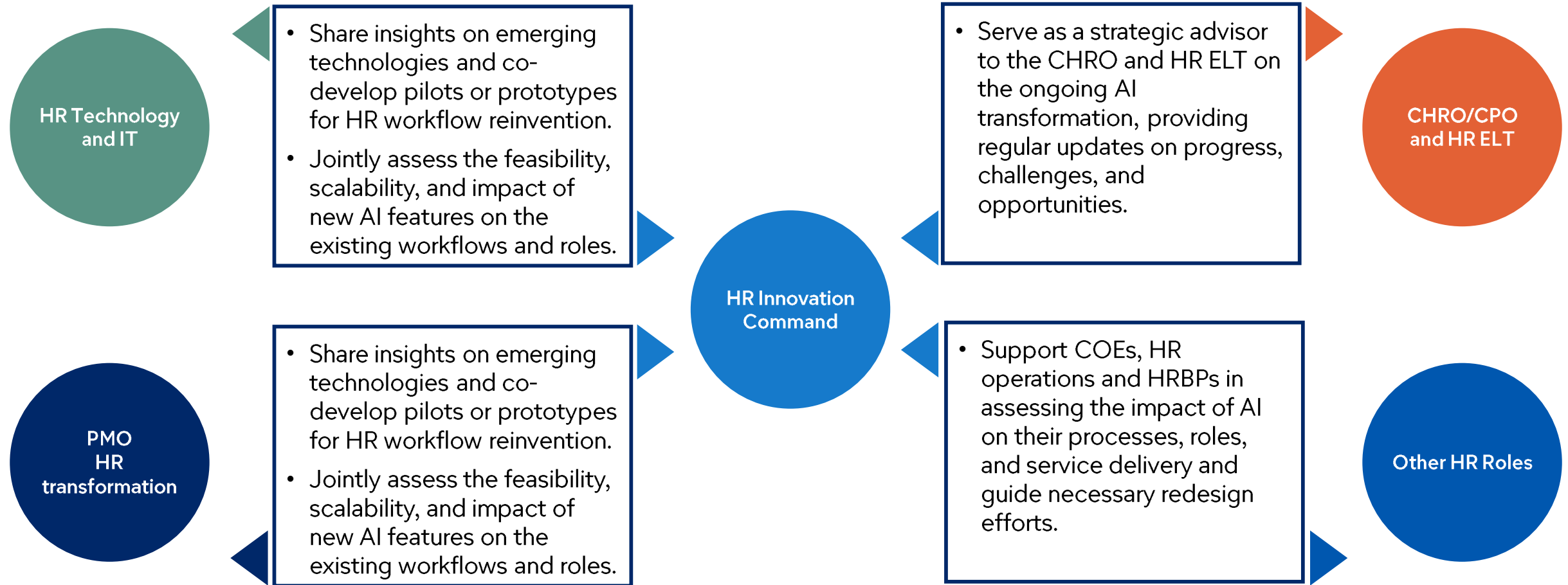


Focus	Strategic, future-focused	Tactical, project-focused	Technology-focused	Oversight-focused
Task	Continuously shaping HR toward an AI-infused operating model and driving innovation, especially around AI	Coordinating project workstreams, organizing meetings, and monitoring timelines, deliverables, and project resources	Selecting, testing and deploying AI technologies, monitoring AI value, and enabling data and tech readiness	Ensuring ethical and compliant use of AI in HR, with special attention to bias, fairness, privacy, and risk

2.1

Install HR Innovation Command – Main Collaboration Touchpoints

Differentiate the roles on the HR innovation command to enhance role clarity and promote specialization.

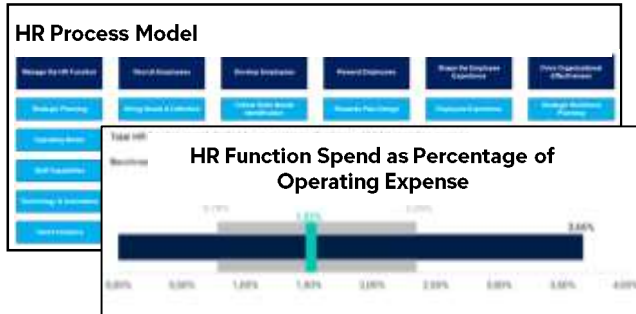


Note: No regular collaboration between the HR innovation command and HR AI governance council, as the latter mostly aligns with HR technology.

2.2 Determine Current Functional Health

Gather information on the performance and value delivered by as-is HR processes, roles and skills, and service delivery.

HR Processes



Review the HR process model and process documentations. Benchmark process maturity and efficiency.

[HR Score](#)

[HR Budget & Efficiency Benchmark Survey](#)

HR Roles and Skills



Analyze current HR role profiles, job descriptions, and existing skills assessments. Assess role efficiency by measuring staffing ratios.

[HR Budget & Efficiency Benchmark Survey](#)

HR Service Delivery



Review the flow of service within the HR function and gather business feedback on service quality.

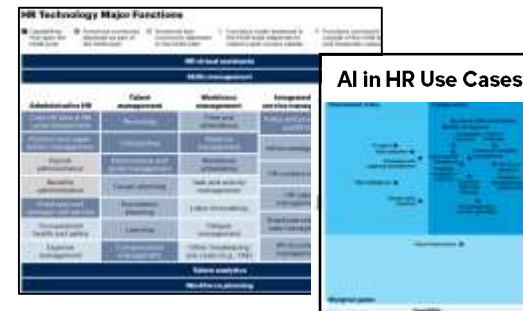
[Toolkit: Measure HR's Value to the Business](#)

HR Technology and Data

Document your current HR technology stack and AI use cases. Assess data availability and accuracy.

[Strategic Roadmap for HR Tech Investments](#)

[AI Use-Case Assessment for HR](#)



2.3

Define Success Measures

Describe the aspired value provided by implementing the AI-infused HR operating model.



Value Category	ROI Return on Investment	ROE Return on Employee	ROF Return on Future
Value Described	Increased HR efficiency, productivity and service quality	Improved employee experience and HR team effectiveness	Improved strategic impact and innovation
Value Metrics (Examples)	• Total HR function cost • HR productivity ratios • Percentage of Tier 0 or 1 tasks automated by AI agents • Average time to resolve employee requests • Process error rates	• Employee effort score for HR interactions • Escalation rate to human HR • Employee trust in AI-infused HR services • HR staff's AI literacy levels	• Percentage of HRBP time spent on strategic tasks • Business leader impact scores • Percentage of HR products personalized • Speed of launching new HR products or initiatives

2.3 Define Success Measures and Map Current Baseline

Name success measures upfront to hold the team accountable and enable objective evaluation of the transformation.

Illustrative

ROI – Return on Investment						
Goal	Metric	Purpose	As-Is Baseline	To-Be Targets	Reporting Interval	Methodology and Source
Efficiency	Total HR function cost per employee	Demonstrate reductions on HR personnel, outsourcing, technology and professional services spent	\$3,800	Short-term: \$3,500 in 1 year Long-term: \$2,900 in 2 years	Quarterly	HR spend and budget review
	Percentage of Tier 0 or 1 tasks automated by AI agents	Quantify operational efficiency	0%	Short-term: 25% in 6 months Long-term: 75% in 3 years	Monthly	System logs, workflow checks
	Average time to resolve employee requests	Assess speed and responsiveness of HR service delivery	48 hours	4 hours	Monthly	Ticketing system data
	Average time to resolve employee requests	Assess speed and responsiveness of HR service delivery	48 hours	4 hours	Monthly	Ticketing system data
Productivity	HR staffing ratio: employee headcount per HR FTE	Demonstrate productivity improvements	1:58	Short-term: 1:50 in 1 year Long-term: 1:40 in 2 years	Quarterly	HR and workforce data
Quality	Percentage of correct or relevant responses provided by the AI agent	Ensure reliable and trustworthy support for HR processes	70%	Short-term: 85% in 1 year Long-term: 95% in 3 years	Monthly	Audit reports, error logs
	Process error rates for payroll, benefits, and HR admin	Track reduction in costly mistakes and rework	2.5%	Short-term: 1.3% in 1 year Long-term: 0.2% in 3 years	Monthly	Audit reports, error logs

2.3 Define Success Measures and Map Current Baseline

Name success measures upfront to hold the team accountable and enable objective evaluation of the transformation.

Illustrative

ROE — Return on Employee

Goal	Metric	Purpose	As-Is Baseline	To-Be Targets	Reporting Interval	Methodology and Source
Employee Experience	Employee effort score for AI-powered HR interactions	Measure ease of use and friction in HR processes	3.2 of 5	Short-term: 4 of 5 in 1 year Long-term: 4.6 of 5 in 2 years	Quarterly	Pulse surveys, user feedback
	Escalation rate to human HR professionals	Understand friction and points of abandonment in HR processes	40%	Short-term: 25% in 1 year Long-term: 10% in 2 years	Quarterly	System analytics
	Employee trust in AI-infused HR services	Measure if employees feel confident, safe, and fairly treated when interacting with AI	3.0 of 5	Short-term: 4.0 of 5 in 1 year Long-term: 4.5 of 5 in 2 years	Semiannually	Employee survey
	Personalized learning suggestion acceptance rate	Measure if AI-powered learning recommendations meet learning needs	0%	Short-term: 25% Long-term: 75%	Monthly	System analytics
HR Team Effectiveness	Percentage of HR staff certified in AI literacy programs	Measure AI literacy skills of HR staff	25%	Short-term: 50% Long-term: 100%	Quarterly	System analytics

2.3 Define Success Measures and Map Current Baseline

Name success measures upfront to hold the team accountable and enable objective evaluation of the transformation.

Illustrative

ROF — Return on Future						
Goal	Metric	Purpose	As-Is Baseline	To-Be Targets	Reporting Interval	Methodology and Source
Strategic Impact	Percentage of HRBP time spent on strategic tasks	Assess shift from transactional to strategic HR work	40%	Short-term: 60% in 6 months Long-term: 95% in 1.5 years	Semiannually	Time tracking, HRBP self-reporting
	Business leader impact scores	Assess business leader's perception of HR's strategic value	65%	Short-term: 75% in 1 year Long-term: 90% in 2 years	Annually	Business leader survey
	Number of projects delivered via value streams	Track cross-functional collaboration and future readiness	5/year	Short-term: 20 per year in 1 year Long-term: 40 per year in 2 years	Annually	PMO or project portfolio review
Innovation	Percentage of COE work transformed into products	Indicate shift to innovative, product-oriented HR delivery	10%	Short-term: 40% in 1 year Long-term: 75% in 2 years	Annually	COE activity audit
	Percentage of HR products personalized	Indicate how well HR meets individual employee needs	15%	Short-term: 35% in 1 year Long-term: 65% in 3 years	Quarterly	COE product portfolio review
	Speed of launching new HR products or initiatives	Measure HR's agility and innovation capability	9 months	Short-term: 4 months in 1 year Long-term: 2 months in 2 years	Semiannually	PMO or project portfolio review
	Percentage of HR decisions informed by AI analytics	Track future-oriented, data-driven HR decision making	10%	Short-term: 30% in 6 months Long-term: 85% in 2 years	Quarterly	Decision logs, HR interviews

3. Run Ongoing Project Management

3.

Run Ongoing Project Management

Recommendation:

- 3.1 Set Up Project Governance**
Create a formalized project structure, project roles and their responsibilities. Define meeting cadence and decision rights.
- 3.2 Define Project Timeline**
Map project tasks to specific time frames and highlight project milestones.
- 3.3 Build Communication Plan**
Define what information will be communicated, by whom, to which stakeholders, at what times, and through which channels.

Why It's Important:

- Provide a clear framework for how the project is managed, ensure accountability, support effective decision making, and keep the project aligned with its objectives.
- Set clear expectations, enable progress tracking, mitigate risks , and ensure the timely delivery of project objectives.
- Standardize information, create transparency, enable faster decision making, engage stakeholders and gain feedback.

Key Resources:

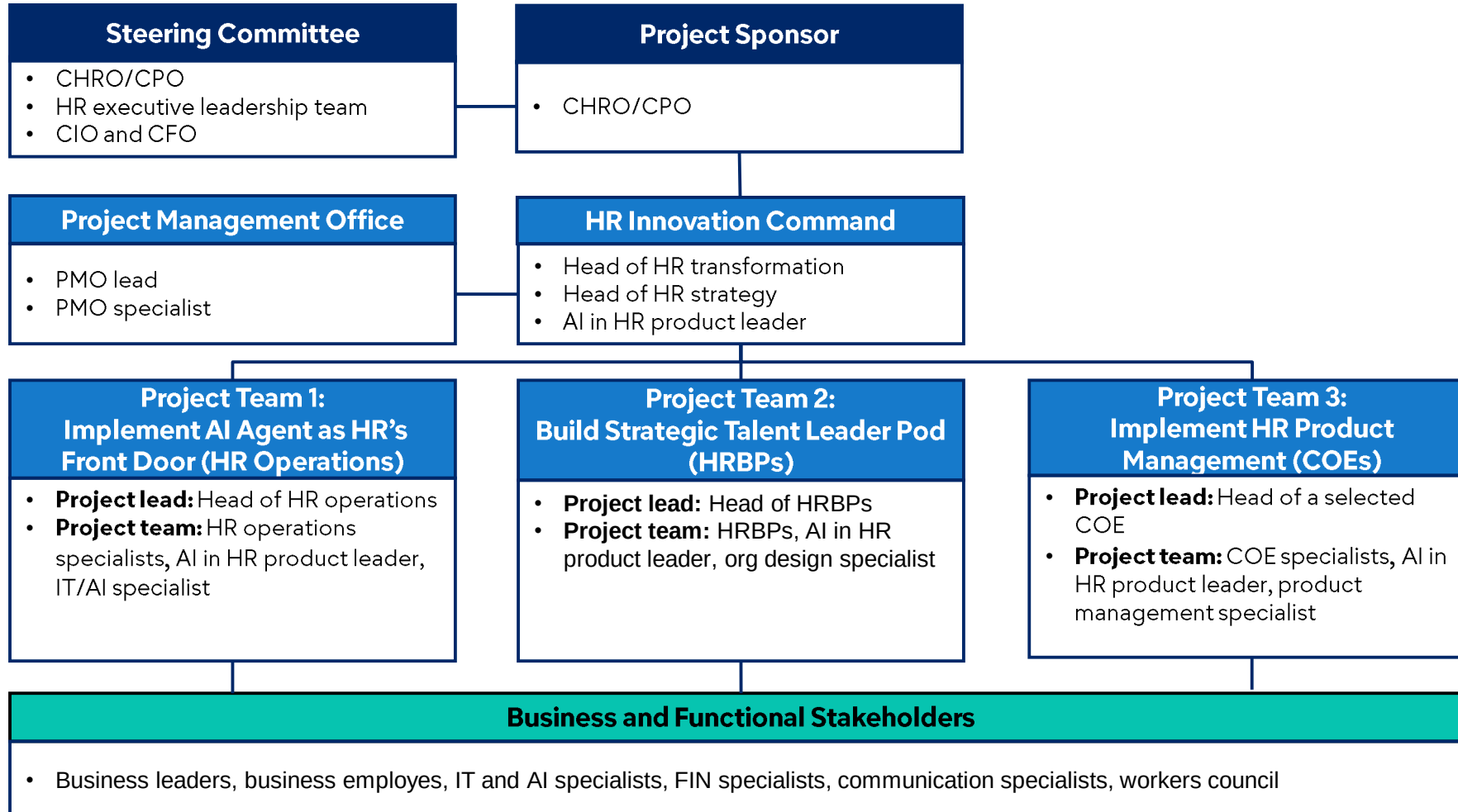
[Tool: Guide for Building an HR Transformation Plan](#)
[Toolkit: Prepare Your HR Transformation Change Management Journey](#)

[Toolkit: HR Transformation C-Suite Communication and Presentation Templates](#)
[The Top 5 HR Transformation Lessons Learned From CHROs](#)

3.1 Set Up Project Governance — Project Structure

Define project roles, their responsibilities and reporting lines as the foundation of project staffing and resourcing.

Illustrative



Project Leadership

Project sponsor: Provides overall direction, secures funding, champions the project, and obtains the ultimate decision right

Steering committee: Finds agreement regarding major project decisions, resolve major issues, provide executive sponsorship

Project Execution

HR innovation command: Drives HR's transformation to an AI-infused HR operating model, managing project teams and reporting progress to the CHRO (details on slide 17)

PMO: Runs day-to-day project management, time and resource monitoring, meeting facilitation, reporting and documentation

Project teams: Run transformation initiatives, carry out the project tasks, develop deliverables, and report progress to the HR innovation command

Project Support

Business and functional stakeholders: Participate in selected project tasks, offer guidance and collaboration based on expertise

3.1 Set Up Project Governance — Meeting Cadence

Determine the meeting cadence, purpose and participants.

Illustrative

Daily Standups: 15-30 mins

Provide individual status updates, align on immediate priorities, address day-to day issues.



Standup 1	HR Innovation Command Project Management Office
Standup 2	Project Team 1: AI Agent Front Door
Standup 3	Project Team 2: Strategic Talent Leader Pod
Standup 4	Project Team 3: HR Product Management

Weekly Check-Ins: 30-45 mins

Track overall project milestones, discuss and resolve complex project issues, allocate resources.



Check-In 1	Project Sponsor HR Innovation Command
Check-In 2	Project Lead Team 1 HR Innovation Command
Check-In 3	Project Lead Team 2 HR Innovation Command
Check-In 4	Project Lead Team 3 HR Innovation Command

Monthly Decision Forums: 60 mins

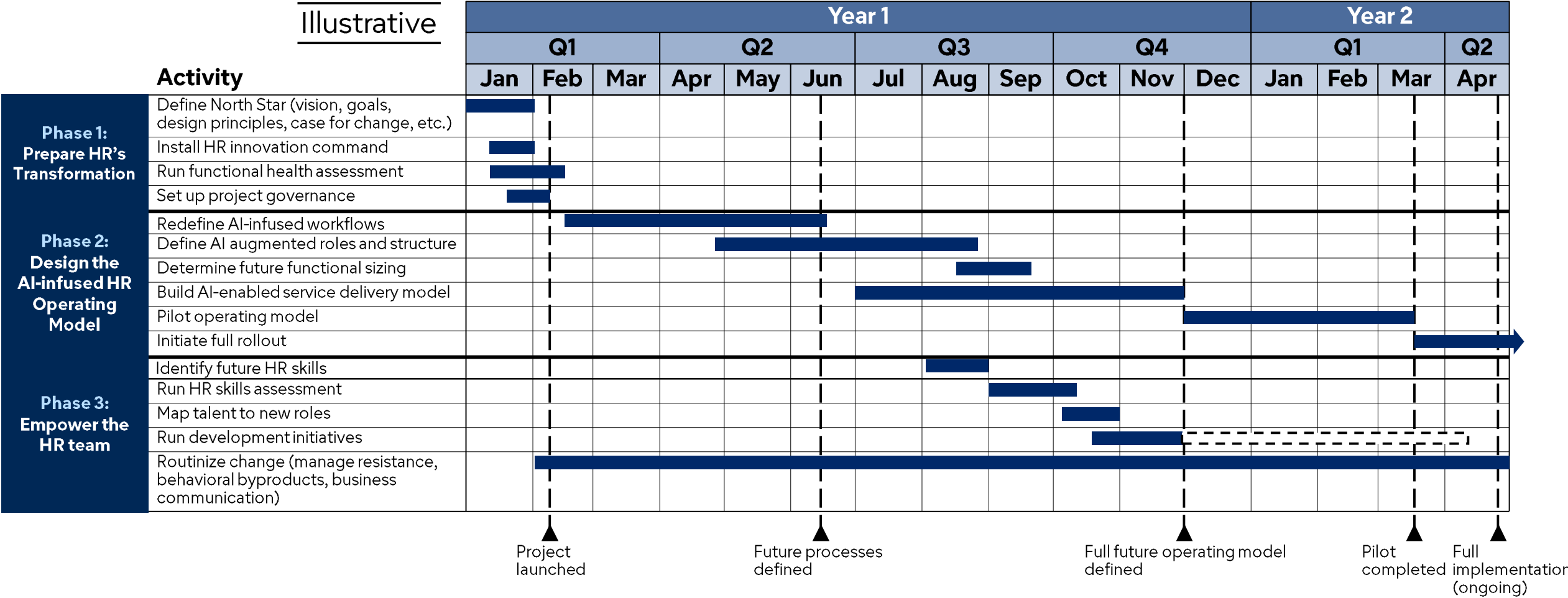
Ensure strategic alignment, review project performance, address major issues and risks, sign off on funding.



Monthly Forum 1	Project Sponsor Steering Committee HR Innovation Command
Monthly Forum 2	Project Lead Team 1 Project Lead Team 2 Project Lead Team 3 HR Innovation Command

3.2 Define Project Timeline

Map project tasks to time frames and highlight project milestones. Timing varies based on the functional size, maturity and resources.



3.3 Build Communication Plan – High Level Overview

Standardize information, create transparency, enable faster decision making, engage stakeholders and gain feedback.

Illustrative

Purpose	Message	Audience	Communicator	Channel	Timing
Initial announcement: Introduce the transformation, the case for change and expected value	"We will transform HR into an AI-powered function that empowers our employees to thrive in the AI era."	All HR leaders and employees	CHRO, HR innovation command	Functionwide town hall and follow-up email	Project launch
Training and impact: Prepare directly impacted groups for changes in roles, processes and required skills	"We'll give you the tools and support needed for these changes."	HR staff, managers and affected business units	HR leadership team and line managers	Interactive workshops, team meetings, and intranet resources	Before rollout of new processes or tools
Status updates: Provide regular updates on milestones and pilot results and next steps	"Here's our progress so far and what's next."	All HR employees	CHRO, HR innovation command	Email newsletters, intranet posts, and leadership briefings	Quarterly or at key milestones
Feedback and engagement: Foster open dialogue, gather feedback and co-create solutions	"Your input matters. Help us shape this transformation."	All HR employees, with focus groups for directly impacted teams	HR leadership team and change champions	Live Q&A sessions, focus groups and online feedback forms	Quarterly, with sessions scheduled after major rollouts or changes